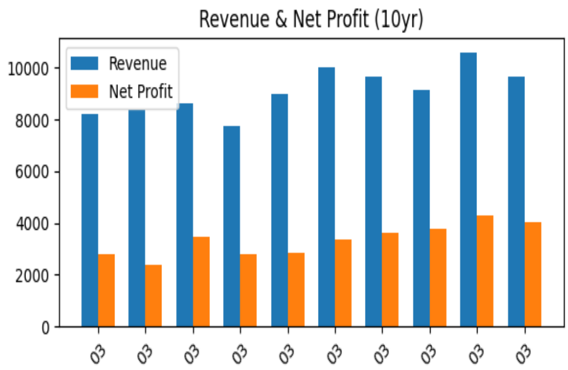
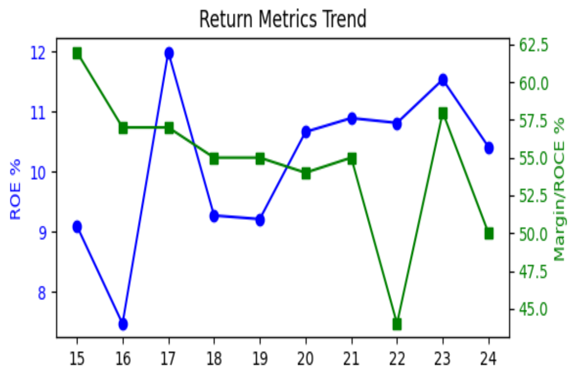
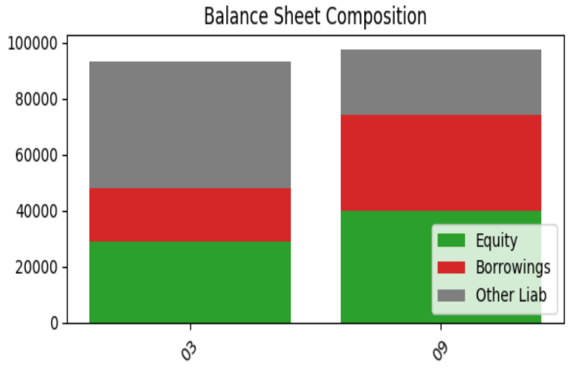
NHPC Ltd (NHPC)

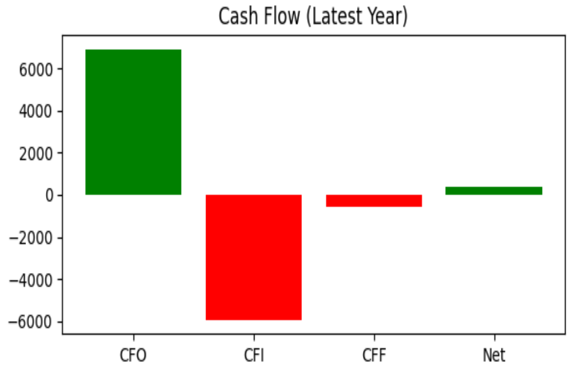
ROE %	10.4%	D/E Ratio	0.84
Net Profit Mgn	41.8%	FCF (Cr)	970
Asset Turnover	0.10	Div Payout	53.0%





NHPC Ltd - Financial Health & Profile





Capital Allocation Pattern: Reinvestor

Pros:

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons:

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum